

Reading the MSP hike: Reset needed

With the southwest monsoon **setting in** over Kerala on May 24, eight days before schedule, it's just as well that the Narendra Modi government has approved the **minimum support prices** (MSP) for kharif crops. **Unlike** last year, when they were declared on June 19, the MSP announcement comes early enough this time for farmers to make informed planting decisions. Equally welcome is the MSP of paddy being **hiked** by only Rs 69 per quintal, as against Rs 117 and Rs 143 for the last and **preceding** year's crops. Ideally, **given** the record 63.1 million tonnes (mt) of rice in government godowns, the paddy MSP should have been frozen. The latest **increase**, the lowest in five years, **is** a second-best solution to a problem that has both economic and environmental **dimensions**: India is producing too much rice (public stocks at over 4.6 times the required **buffer**, even after exports of 20.2 mt in 2024-25, is proof), which is a **water-guzzler** to **boot**.

The MSPs of other crops **have** been raised significantly. These range from 5.4-6 per cent for urad (black gram) and arhar (pigeon-pea), to 7.1-8.3 per cent for groundnut, maize and cotton, and 8.9-13.9 per cent for soyabean, jowar (sorghum) and ragi. When compared to the **mere** 3 per cent higher MSP **granted** for paddy, these seem quite major and well-intentioned too. India should definitely be growing more pulses and oilseeds **considering** the value of their imports, **touching** \$5.5 billion and \$17.3 billion during 2024-25. The same goes for cotton (where India has turned a net importer) and maize (the domestic consumption of which, both as feed and fuel grain, is rising faster than production). Their nutritional **advantages**, apart from lower water requirement and climate **hardiness**, **make** millets similarly **worthy** of MSPs providing fair and **remunerative** returns over cultivation costs. But why would farmers grow crops where the MSPs are simply on paper? Take soyabean, which is currently selling in Maharashtra's Latur market at Rs 4,300 per quintal. That's below not only the just-announced MSP of Rs 5,328, but even last year's level of Rs 4,892.

The MSP system needs a reset. The government must **procure** grain that is sufficient to meet its requirements for the **public distribution system** and **open market operations**. This would mean **capping** the quantity of produce purchased — say, 100 quintals of paddy per farmer. Over time, it should move from crop-specific MSPs to **flat** per-acre income support. This will **incentivise** farmers to grow crops that the market wants and also produce these through cost-efficient use of water, nutrients, energy and other inputs. **Poultry**, dairy and vegetable farmers are already doing this. There's no reason those growing regular field crops can't — with some government direct income support.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

1. **Set in** (phrasal verb) – begin, start, commence, arrive, appear शुरू होना
2. **Minimum Support Price (MSP)** (noun) – the minimum price for select crops raised in kharif and rabi seasons that the Government of India considers as remunerative for farmers and hence deserves support. न्यूनतम समर्थन मूल्य
3. **Unlike** (preposition) – in contrast to, different from, as opposed to, contrary to, dissimilar to के विपरीत
4. **Hike** (verb) – increase, raise, boost, escalate, jack up बढ़ाना
5. **Preceding** (adjective) – previous, earlier, former, prior, foregoing पूर्व का / पहले का
6. **Given** (preposition) – considering, taking into account, in view of, based on, owing to को देखते हुए
7. **Dimension** (noun) – aspect, factor, element, component, feature आयाम
8. **Buffer** (noun) – reserve, cushion, safeguard, backup, margin भंडार / सुरक्षित मात्रा
9. **Water-guzzler** (noun) – water-intensive, water-consuming, thirsty, extravagant (in water use), resource-heavy अधिक पानी खर्च करने वाला
10. **To Boot** (phrase) – in addition, moreover, besides, as well, furthermore इसके अलावा
11. **Mere** (adjective) – only, just, simply, no more than, trivial मात्र / केवल
12. **Grant** (verb) – award, give, allow, bestow, confer देना / प्रदान करना
13. **Considering** (preposition) – in view of, given, taking into account, regarding, bearing in mind को ध्यान में रखते हुए
14. **Touch** (verb) – reach, amount to, hit, attain, approach पहुँचना
15. **Hardiness** (noun) – resilience, toughness, durability, robustness, resistance कठोरता
16. **Worthy** (adjective) – deserving, suitable, commendable, appropriate, fit योग्य
17. **Remunerative** (adjective) – profitable, rewarding, gainful, paying, lucrative लाभकारी
18. **Procure** (verb) – acquire, obtain, buy, secure, purchase खरीदना
19. **Public Distribution System (PDS)** (noun) – a government-sponsored chain of shops entrusted with the work of distributing basic food and non-food commodities to the needy sections of the society at very cheap prices सार्वजनिक वितरण प्रणाली

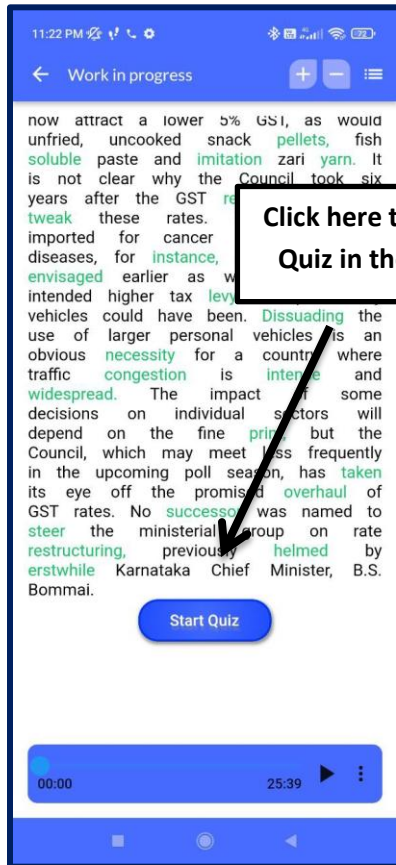
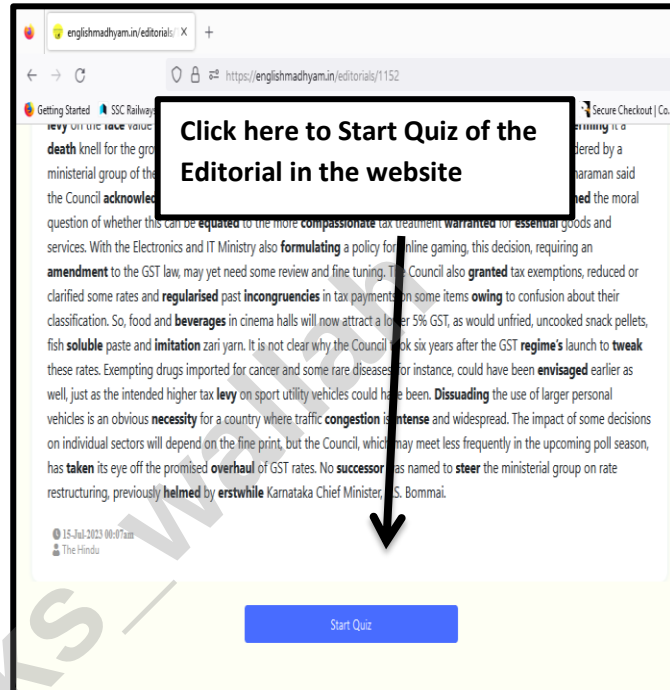
20. **Open Market Operation** (noun) – actions taken by a central bank to buy or sell securities in the open market to influence the money supply and interest rates in an economy खुले बाजार का संचालन (आर्थिक गतिविधि के संदर्भ में)
21. **Cap** (verb) – limit, restrict, set a ceiling on, control, curb सीमा तय करना
22. **Flat** (adjective) – fixed, uniform, constant, even, standard एक समान
23. **Incentivise** (verb) – encourage, motivate, stimulate, prompt, spur प्रोत्साहित करना
24. **Poultry** (noun) – domesticated birds, chickens, fowl, hens, livestock मुर्गी पालन

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Summary of the Editorial

1. **Early MSP Announcement** – This year's Minimum Support Prices (MSPs) for kharif crops were declared early (May 24), enabling farmers to plan better.
2. **Paddy MSP Moderation** – The MSP hike for paddy is only ₹69 per quintal, the lowest increase in five years, which is a prudent move.
3. **Surplus Rice Stocks** – India's rice stock in government godowns stands at 63.1 million tonnes, over 4.6 times the buffer norm, even after substantial exports.
4. **Environmental Concern** – Rice is a water-intensive crop; reducing its incentivization through lower MSP increases addresses both economic and environmental concerns.
5. **Higher Hikes for Other Crops** – MSPs for pulses, oilseeds, and millets were raised significantly, ranging from 5.4% to 13.9%.
6. **Strategic Crop Diversification** – Crops like soyabean, jowar, ragi, maize, and cotton have nutritional, climatic, and import-substitution value.
7. **Reducing Import Dependency** – India imported \$5.5 billion worth of pulses and \$17.3 billion of edible oils in 2024–25; promoting domestic production is critical.
8. **Market Disparity** – MSPs remain ineffective if market prices fall below them, as seen with soyabean selling at ₹4,300 in Latur, below its MSP of ₹5,328.
9. **MSP on Paper vs Reality** – Without active procurement, MSPs don't guarantee farmers real income; they remain notional for many crops.
10. **Reforming Procurement** – The government should limit procurement to essential needs for public distribution and open market operations.
11. **Procurement Caps Proposed** – Suggestion to cap procurement, e.g., 100 quintals of paddy per farmer, to curb excessive stockpiling.
12. **Move Toward Income Support** – Shift from crop-specific MSPs to flat, per-acre income support is proposed for better resource efficiency.
13. **Market-Driven Cropping** – A flat support system would motivate farmers to grow crops in demand rather than just those with high MSPs.
14. **Sustainable Practices Encouraged** – Such a model promotes cost-efficient use of water, fertilizers, and other inputs.
15. **Learning from Other Sectors** – Sectors like poultry, dairy, and vegetables already function well in market-driven frameworks; field crops can follow with government backing.

Practice Exercise: SSC Pattern Based

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